



KROGER FINANCIAL ANALYSIS



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Our team



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Kroger

St. Matthews

Experience the Finest

Selection of Peers

Starting With Kroger



Headquartered in Cincinnati, Ohio

Largest Traditional Supermarket Chain in the U.S. (35 States, 2700+ stores, 32 food manufacturing plants)

Major Operating Segments include: Retail, Food Stores, Fuel, & Health/Wellness

Positioned in between premium grocers and discounters.

"Fresh-First" Value Proposition





#1 Albertsons (ACI)

- Considered a “twin” to Kroger
- Similar store layouts



#2 Weis Markets (WMK)

- Grocery-first business
- Provide an industry average for metrics



#3 Walmart (WMT)

- Industry benchmark
- Scale and Pricing Power



Excluded Firms



Dollar General (DG)

- Dollar General Shoppers spend much less on average than Kroger shoppers do.
- This can lead to different costs and rates, making it hard to compare.

Target (TGT)

- Only about 20 % of their sales are groceries
- Rely less on low-margin items which inflates their profits making it harder to compare.

Costco (COST)

- The membership program causes an increase in their valuation multiple, which makes Kroger look cheap.

Financial Analysis





Ratio Group Summaries & Trends

Liquidity

- Current Ratio < 1
 - Operating with more CL than CA
- Low quick ratio overall
 - improved to 0.52 in 2024

Working Capital

- Working capital improved since 2000
- Negative Cash Conversion Cycle

Profitability

- Thin, yet consistent margins
- ROE is helped by leverage



Ratio Group Summaries & Trends

Leverage/Coverage

- Debt-to-Equity increase in 2024
- Kroger is still easily covering their interest expense
- Currently leveraged

Valuation

- Low Price-to-Sales
- P/E reflective of Kroger's consistent and stable growth



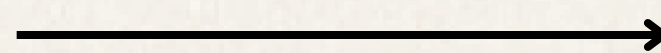
Comparison to Peers

Weiss Markets operates with lower leverage, better liquidity ratios, but a lower ROE.



Kroger's ROE is driven by a greater use of debt.

Albertsons has a similar profitability margin to Kroger and strong free cash flow.



Kroger has better working capital efficiency, shown by its negative cash conversion cycle.

Walmart acts as the benchmark and lead for Kroger, as Kroger mimicks many decisions made by Walmart.

Pro Forma



- For our assumptions we took the averages of the past 3 years.
- We chose 3 years because we did not want to include the pandemic as an outlier.
- We chose a growth rate of 2.26% growth rate assumption.
- Our interest rate expense assumption was 0.33% of sales.
- The tax rate we assumed was 22.02%.

*In Billions

	2025
Sales	\$ 150.45
Cost of Goods Sold (COGS) incl. D&A	\$ 120.31
Gross Income	\$ 30.13
SG&A Expense	\$ 25.36
EBIT (Operating Income)	\$ 4.77
Interest Expense	\$ 0.49
Pretax Income	\$ 4.28
Income Taxes	\$ 0.94
Net Income	\$ 3.34

*In Millions

Assets	
Cash & Short-Term Investments	\$ 8,388.47
Short-Term Receivables	\$ 2,244.60
Inventories	\$ 7,197.02
Other Current Assets	\$ 786.38
Total Current Assets	\$ 18,616.46
Net Property, Plant & Equipment	\$ 33,277.27
Total Long-Term Investments	\$ 33,277.27
Intangible Assets	\$ 3,587.26
Deferred Tax Assets	\$ 2,992.00
Total Assets	\$ 58,473.00
Liabilities & Shareholders' Equity	
ST Debt & Curr. Portion LT Debt	\$ 871.00
Accounts Payable	\$ 10,352.75
Income Tax Payable	0
Other Current Liabilities	\$ 5,056.73
Total Current Liabilities	\$ 16,280.48
Long-Term Debt	\$ 24,211.00
Provision for Risks & Charges	\$ 395.74
Deferred Tax Liabilities	\$ 4,409.00
Other Liabilities	\$ 2,380.00
Total Liabilities	\$ 47,676.22
Equity	
Common Equity	\$ 8,285.00
Common Stock Par/Carry Value	\$ 1,918.00
Additional Paid-In Capital/Capital Surplus	\$ 3,087.00
Retained Earnings	\$ 31,235.78
Unrealized Gain/Loss Marketable Securities	\$ -
Other Appropriated Reserves	\$ (621.00)
Treasury Stock	\$ (24,823.00)
Total Shareholders' Equity	\$ 10,796.78
Total Liabilities & Shareholders' Equity	\$ 58,473.00

Return on Assets	5.71%
Return on Equity	30.91%



Capital Structure & Cost of Capital

Estimates and Interpretations



Beta = 0.5255



- Less volatile than market
- Lower risk
- More stable
- Defensive performance

CAPM Inputs:



- Beta = 0.5255
- Risk-Free Rate = 4.39%
- Market-Risk Premium = 2.56%

DGM = 15.12%



- Investors expect strong dividend growth
- Investors expect higher returns
- Investors have confidence in its cash flows

WACC = 5.3379%



- Low perceived risk
- Efficient access to capital
- Stable and mature business model

Reasoning

- Averages from CAPM Data since 2000
- Dividend growth rate slightly inflated
- WACC aligns with steady growth and low risk



Payout Policy



Dividend & Repurchase Behavior

Dividend Growth Rate (3YR AVG) = 15.66%

Dividend Growth Rate (5YR AVG) = 15.12%

Repurchase Rate (3YR AVG) = 4.39%

Repurchase Rate (5YR AVG) = 4.52%

2025 Dividend Per Share = \$1.45

- Kroger has a hybrid payout policy.
- Income oriented dividends and flexible repurchase payout policy.
- Supported by a consistent growth rate in dividends , and the varying amount of repurchases.

Payout Policy Recommendation

- Rebalance dividends and repurchases
- Repurchases shares when necessary
- Mature company with stable cash flows
- Use proceeds from adjusted policy to reinvest into themselves



KROGER

Firm Valuation





Firm Value and Reasoning

- Intrinsic Value: DCF Analysis yielded \$102.50 per share
- Discrepancy: Stock is currently trading at \$67, 35% discount
- DCF analysis provides more long term trajectory forecasting
- Focuses on actual cash generated

- Market may not be reflecting Kroger's recent aggressive share repurchases and their cash flow generation



Thank you

WE WILL NOW TAKE QUESTIONS
